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An Empirical Research on the Institutional Theory of Downsizing: Evidence from MNC's Subsidiary Companies in Taiwan

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ABSTRACT *The research uses 18 business cases to verify the institutional theory of downsizing (McKinley et al., 2000). It shows that the rationale behind enterprises' downsizing practices is mixed with economic factors, institutional factors and social cognition processes. Moreover, the influences of institutionalization appear not only on the motivation of downsizing, but also on the practices used by enterprises to execute the downsizing strategies. The implications are: institutionalization would influence the entire process of downsizing and the future research should try to make the institutional theory of downsizing more concrete and complete. Meanwhile, the findings are useful references for enterprises and employees when dealing with the labour relations when downsizing, especially for the global HRM strategies in MNCs.*

KEY WORDS: Downsizing, institutionalization

Introduction

Research Motivation

Studies have revealed that downsizing is not an absolute positive and beneficial practice to enterprises, and it usually ends up harming thousands of employees and causing social problems. But why it has still remained a popular practice since the 1980s. Quite a lot of studies have explained the motivation of downsizing from the economic point of view (e.g. Greenhalgh *et al*., 1988; Cascio, 1993; Cameron, 1994; Cascio *et al*., 1997; Rigby, 2002). It is puzzling that since enterprises have known that downsizing is not necessarily advantageous to their companies, why do they insist on applying the practice? McKinley *et al*. (1995)

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have explained this by using institutional theory to declare that three social forces from outside organizations make enterprises downsize even though they know the expected benefits of downsizing are not remarkable. The three institutional forces are constraining, cloning (imitation) and learning. Since then, there has been some research proving that the institutional factor is one of the motivations making enterprises downsize (Budros, 1999; Lamertz & Baum, 1998; Mentzer, 1996; Norman, 1995). McKinley *et al*. (2000) have further explained managers' psychological processes in deciding the downsizing practices from the viewpoint of socio-cognition. They recognized that apart from economic and institutional factors and after going through the social cognition process, managers have considered that downsizing must be a legitimate and ethically acceptable management practice. Managers have widely accepted the idea that downsizing has been institutionalized as an efficient and inevitable management practice. McKinley *et al*. have considered that the institutional theory of downsizing would conclude: (1) the rationale behind downsizing decisions would derive from economic factors, institutional factors and social cognition. Some enterprises consider one single factor, some may consider two (for example, both economic and institutional factors), and some all three factors; (2) the downsizing decision made considering these three factors occurs mostly in the post-industrial societies in western countries.

The theoretical viewpoints from McKinley *et al*. are rather meaningful because they provide more explicit explanations and predictions on the motivations of downsizing. Furthermore, they help people to better understand the practice of downsizing, which is the most commonly used strategy (McKee-Ryan & Kinicki, 2002). However, no empirical research supports or modifies their ideas. In this study, we aim to find out if institutional theory of downsizing can both explain the motivation of business downsizing and the phenomena happening in the process, for example, to explore if the downsizing practices could be influenced by institutionalization. Nevertheless, due to the lack of the downsizing theories, current institutional theories of downsizing remain a theoretical concept. And the relational model of the relevant variables is still immature. Therefore, it is difficult to conduct empirical quantitative research with a big sample. So we make in-depth interviews with 18 enterprises in order to explore the possible existence of the combination of the three factors driving enterprises to practice downsizing. We also aim to verify if the existence of combined factors occurs only in the enterprise in the post-industrial societies and to find out if institutional factors also affect the downsizing strategies and related practice apart from the downsizing motivation.

Expected Contributions

Our expected findings will make the institutional theory of downsizing more solid due to the exploration of actual empirical supports and modifications. The results obtained will lead to some propositions being made for further research and we hope to motivate more research on this topic. Additionally, from the viewpoint of managerial practices, the findings also may provide enterprises with a more subjective referential framework when deciding on downsizing strategies.

Literature Review

Downsizing has been one of the consistent trends in business since the 1980s (Naumann *et al.*, 1995; Fisher & White, 2000; McKinley *et al*., 2000; McKee-Ryan & Kinicki, 2002;

Landry, 2004). Every researcher has a slightly different definition concerning downsizing. In summary, downsizing is defined as: 'In order to adjust to the environmental changes, break through management difficulties and improve organizational efficiency, promote their competitiveness and productivity, companies use different methods to reduce costs, restructure organizations, and cut down labours.' Downsizing as the major or the last necessary resort has been widely used by both public and private sectors worldwide. It is recognized as the most effective management strategy to restructure organizations, promote organizational efficiency, and reduce organizational cost (Sun & Yeh, 1996; Sun, 1997a, b). In the past, downsizing was perceived as an indicator of organizational decline; now it is regarded as a formal strategy to restructure an organization (McKinley *et al*., 1995). Managers even downsize and rebuild organizations consistently in order to promote productivity and increase share prices. Even some profit-making companies, for example, Kodak, Citicorp, and Levi Strauss apply this strategy (Ellis, 1998). Downsizing cuts the number of employees deliberately (Cameron, 1994; McKinley *et al*., 1995). Due to its long-lasting popularity, it remains a controversial whether it is advantageous or disadvantageous to organizations and employees (Mone, 1997). The institutional theory of downsizing of McKinley *et al*. has placed the emphasis on the research of motivation.

Causal Factors Driving Organizational Downsizing

According to the literature, the motivations driving enterprises to downsize are different. We summarized the relevant ideas as: (a) macro-level factors (external management environment), e.g. economic depression, government policies, merger and acquisition, technological development, heavy competition and deregulation; (b) micro-level factors (internal organizational environment), e.g. financial difficulties or losses, bad performance, inappropriate HR management, organizational reconstruction, seasonal adjustments, and budget constraints. Baron & Kreps (1999) have also taken the trend of global competition into account and summarized the following factors: (a) global trends which cause the enterprises to encounter stronger competitors; (b) the shortened product life cycle forces enterprises to act on this situation; (c) increasing labour costs makes companies cut the number of employees in order to reduce HR costs; (d) due to the development of information systems, much administrative work has been automated, hence the demand for labour is reduced; (e) the arrangement for flex-work reduces the companies' willingness to employ formal employees; and (f) shareholders' demand for higher return on equity. From the end of the 1980s, most of the studies have shown that the organizational decline is the major reason for downsizing (Greenhalgh *et al*., 1988; McCune *et al*., 1988). Still, many enterprises have downsized for other reasons, for example to gain competitive advantages and technology upgrading (Shah, 2000). In the 1990s, many enterprises have also downsized after mergers and acquisitions in order to gain economic scale (Hirschman, 2001; Tsai, 2001). The puzzling problem is that the result of downsizing is not always what enterprises have predicted (Cascio, 1993, 2002; Cameron, 1994; Cascio *et al*., 1997; Rigby, 2002). There are other hidden costs of downsizing, such as the deconstruction of organizational network (Fisher & White, 2000), the negative psychological effect on the employees (Millward & Brewerton 2002), and even the erosion on the companies' social capital (Prusak & Cohen, 2001). McKinley *et al*. (2000) have incorporated the institutional social factors (McKinley *et al*., 1995) and divided the motivation of downsizing into three categories: economic factors, institutional factors and social cognition.

Economic factors. For those organizations using efficient effective economic behaviours to gain profits and satisfy their stakeholders, their actions are naturally economically motivated. Therefore, it is not surprising to know that most of the studies since the end of the 1980s have pointed out the decline of organizations as the main reason for downsizing (Greenhalgh *et al*., 1988; McCune *et al*., 1988; Dewitt, 1993). Many researches have shown the reasons for downsizing, such as pursuing new technology, competitive advantages, organizational effectiveness, and raising share prices (Freeman & Cameron 1993; Ellis, 1998; Shah, 2000; Freeman, 1999; Hirschman, 2001; Tsai, 2001; Cascio *et al*., 1997; Cascio, 2002; Rigby, 2002). It is also a proactive management strategy aiming to improve corporate performance (economic benefits). Some other researchers have also analysed the most possible factors for downsizing. Drew (1994) found out the top three reasons were a decrease in sales volume and profit, unfavourable financial performance and international competition. Therefore, the economic factors are significant drivers causing downsizing.

Institutional factor, (social forces from organizational external environment). According to the open system theory, organizations tend to be influenced by the external environment and to adjust their behaviours accordingly. McKinley *et al*. (1995) have also provided another explanation. They proposed that downsizing was caused by three institutional external social forces: constraining, cloning (imitation), and learning. Managers implement downsizing due to the influences of social factors. This is because downsizing has been perceived as an institutionalized norm with legitimacy. The following researches have supported that institutionalization is also a reason causing downsizing (Budros, 1999; Lamertz & Baum, 1998, Mentzer, 1996; Norman, 1995). Budros (1999) pointed out that some irrational external factors, such as institutionalization, social network (e.g. certain practices have been commonly perceived as an effective method) and irrational internal factors such as organizational culture and the traits of leaders also affect the scale of downsizing.

Social cognition. McKinley *et al*. (2000) viewed downsizing as a process proceeding according to social cognition. From the process of social interaction, managers collectively decide on the alternatives according to the schema of downsizing and expel the conformation bias, then make a cognizable and workable strategy. Additionally, the prevailing cultures in our society are employee self-reliance and de-bureaucratization. They simply mean that organizations are continuously restructuring in dynamic environments and the practices of downsizing are effective and inevitable actions. It has been an acceptable institution and a social reality in the business ethics. The decision on the alternatives means that at the early stage in the process, managers have to evaluate the relationships between the effectiveness of downsizing and the ethical acceptability.

Therefore, the business ethic is an important element in formatting the motivation for downsizing. Although McKinley did not discuss the context of ethical acceptability, we consider that the principles of ethical behaviour[1] of the individual enterprises would influence the motivation for downsizing. The legitimacy in the institutional environment is also a radical force when integrating the schema of downsizing via social interaction. Legitimacy means complying with the social norms.[2] It tends to unify the alternatives and resolve the contradictory opinions in order to ensure the concreteness of schema. In other words, legitimacy will affect the companies' decisions on schema.

Summarizing the three factors proposed by McKinley *et al*. (2000), we have concluded the following: (1) Enterprises conduct downsizing according to economic factors,

institutional factors and social cognition. Some mainly consider one single factor; others consider two factors (e.g. economic factors and institutional factors); and some all three; (2) the motivation driven by the three factors happened mainly in post-industrial societies in western countries. The propositions of McKinley *et al*. have been quite meaningful because they provide definite explanations and predictions on the companies' motivation for downsizing. However, the propositions need sufficient proof on their accuracy. Unfortunately, there is no relevant empirical research in this area. Therefore, this research is mainly an empirical study.

Downsizing Practices

The viewpoint of institutional theory of downsizing (McKinley *et al*., 1995, 2000) has thoroughly explained the effects of institutionalization of downsizing as a whole. However, downsizing is a social action that comprises causes, processes and effects. Since institutionalization is a factor causing downsizing, would it also generate the effects from the process of downsizing or will institutionalization influence the types of downsizing strategy and practices? Or will enterprises take identical strategies and practices even though they have individual managerial philosophy, vision, value and the resources for downsizing? We believe that the concepts and discussions of institutional theory of downsizing should be expanded from the motives to the strategies and practices of downsizing.

Neo-institutional theory makes members obey the norms of good management and organizational structure. Members could hence reduce uncertainty and access legitimacy (McKinley *et al*., 2000). Therefore, if enterprises' behaviours comply with the social expectations, they can increase their legitimacy, resources and survival ability and end up with success (Baum & Oliver, 1991; Carroll & Hannan, 1989; DiMaggio & Powell, 1983; Oliver, 1991, 1997a, b; Scott, 1987). Once downsizing is perceived as a social convention, managers are forced to take this option. Behaviours of isomorphism possess higher legitimacy; meanwhile they also reduce inter-firm isomorphism pressures (Oliver, 1997a) and are comparatively acceptable to internal and external stakeholders. Thus, we assume that the strategic modes and actions for downsizing should be also influenced by institutional factors.

Research Method

This research concerns complex human behaviours. Therefore, a qualitative research method is used to formulate some propositions, which can be the basis for further quantitative researches. Here, qualitative research can better distinguish the specific characteristics of HR practices and find out the actual reasons (Sherer & Leblebici, 2001).

Sample and Sources

Research targets. The research cases are selected from Taiwan, mainly because Taiwan has been an important member in the Asia Pacific Newly Developed Countries. According to the statistics from the Ministry of Economics, Taiwan's trade volume has become one of the top 15 globally and in the top 5 from the Global Competitiveness Report of World Economic Forum in 2003. Many multinational companies (MNCs)[3] have invested in

Taiwan; therefore the findings from this environment will be meaningful to the researches and practices on international business management. Meanwhile, in order to have better referential effects, the research cases cover manufacturing and service industries, including petrol-chemical, information technology, electronics, mechanics, shipbuilding, financial, wholesaling and telecommunication etc. The capital structures of cases are state-owned, purely foreign-owned, Joint venture: and local private companies. Each case is representative in the individual industry. The scales of downsizing in the cases are over 15%.[4] The bigger the scale of downsizing, the greater the impact on the employees. Many companies treat downsizing as a confidential and sensitive matter; therefore, they are reluctant to accept he interviews. To sum up, we use 18 cases to conduct the exploratory research, and their characteristics are shown in Table 1.

Sources. The research uses a key information method to gather data. In order to maintain a certain degree of reliability, the respondents are from both management levels and employees. Management levels include top managers (VP, sr. managers or above), HR managers (supervisors, department heads, department managers), and line-managers. Sources from employees include union leaders and employees from the organizations without unions. As suggested by Tomaskovic-Devey *et al.* (1994), respondents are chosen because they have certain qualities: (1) power; (2) ability; and (3) motivation (Delery & Shaw, 2001).

Data Collection

Data are collected using the methods of focus group interview, questionnaire, and interviews in person. We have kept the respondents in the collection process well informed, following the suggestions proposed by Gupta *et al*. (2000).

Critical Context and Content Exploration

First of all, we divide the main participants of downsizing practices into three focus groups: top management team, HR managers and union leaders (who are representing the employees). In the focus group interviews, we explore and summarize the critical context and content concerning downsizing. After that, we construct the encoding system from the literature review to gather data.

Questionnaire

Design. We apply the pre-set encoding system to construct the following codes: context codes, situation codes, process codes, activity codes, event codes, strategy codes, and relationship/role codes, and make up a 46-question-semi-structure-questionnaire. A space for other opinions is also reserved in the questionnaire. Some questions allow for multiple answers or adding other, more appropriate, answers. The purpose is to gather subjective data and avoid bias. Space is also provided for respondents to express their special opinions.

Pre-tests and modifications. We pre-test a company and compare their answers as a pilot survey. The pre-test is conducted to ensure interviewees understand the meanings of the questions and the methods in answering the questions. The questionnaire is then modified according to the interviewees' suggestions and the literature review. Six interviewees from

Table 1. The basic information of the sample

	Co. code	Survey year	Yr. of downsizing	Actual No. of downsizing	Downsizing %	Capital form	Category	Change in no. of employees	Age of co.
1	C	2000&02	1997 ~ 2000	132	18.40	Joint venture: 50% UK	petrochemical	717 → 585	26
2	Y	2000&02	1995 ~ 2002	813	27.07	Joint venture: 25% Japan	automobile	3003 → 2190	49
3	F1	2000&02	1999 ~ 2002	100	32.90	Joint venture: 35% Dutch	plastic	328 → 220	28
4	M	2000&02	1999 ~ 2002	90	45	Joint venture: 65% Dutch, Thailand	retailing	200 → 110	11
5	H2	2003	2002	470	47.32	Joint venture: 10% Japan	car selling	989 → 519	55
6	SJ	2000&03	1998 ~ 2000	50	70	Joint venture: 49% Japan	electronics	80 → 30	36
7	B	2003	2000 ~ 2001	35	31.81	100% Germany	petrochemical	110 → 75	25
8	A	2003	2002	51	8	100% US	banking & finance	572 → 613	25
9	PH	2003	2000 ~ 2002	340	13	100%Dutch	Information	2800 → 2002	36
10	T1	2000&02	2000	50	17.9	Local−private	petrochemical	280 → 230	12
11	L	2002	1999 ~ 2002	30	9.37	Local-private	petrochemical	320 → 290	26
12	H1	2002	2001 ~ 2002	1100	17.46	Local- private	information	6300 → 5200	19
13	S	2002	2001	238	5.60	Local- private	information	5000 → 8100	19
14	P	2002	2002	300	16.60	Local-private	electronics	1800 → 1500	2.5*
15	NY	2002	1998	67	98	Local-private	plastic	80 → 1	45
16	CT	2002	2000 ~ 2001	1651	18.8	state-owned	telecommunication services	8788 → 7137	6*
17	CB	20022	2001	2280	45.37	state-owned	shipbuilding	5030 → 2729	30
18	TL	2002	1986 ~ 1987	120	30	Local-Private with 15% state-owned	petrochemical	320 → 200	26

*the age after Merger & Acquisition or restructure and the previous age is more than 30 years.

the company are pre-tested and interviewed: two union representatives of employees, one senior vice president, two department directors and one senior HR manager.

Questionnaire distribution and collection. We distribute questionnaires to the targeted companies, and collect them back in person, on the phone or via the internet.

Interviews after questionnaire collection. The purposes are to verify the data on the questionnaires and to gather more additional data. Two interviewing techniques are applied. They are telephone interviews for verifying minor questions and asking for additional explanations, and in-depth interviews for better understanding, verification and exploring other useful information.

Primary Data Summary and Deletion

The rules of deletion are set if the responses from the four respondents in the same company are different.

Rule 1. For questions related to corporate strategy or policies, the opinions of senior managers would have priority.
Rule 2. For questions related to HR practices, the opinions of HR managers would have priority.
Rule 3. For questions related to technology, re-engineering, work re-design, the opinions of the respective department heads would have priority.
Rule 4. For the questions related to employees, the opinions of the union leaders would have priority.

Data Summary and Analysis

Context analysis and content analysis are employed to explain the downsizing strategies and actions of the 18 companies. The analyzed similarities and differences are the basis for future predictions and for constructing propositions. We analyse the motivation for downsizing from the aspects of the product life cycle, profitability, competitors' strategies, HR strategies, HR redundancy, and the percentage of labour with needed core competency, the benchmarking comparisons, the decision-making process of downsizing, ethical principles, social obligation and corporate image etc. We also analyse the context of downsizing strategies and actions from the scale, the procedures and the selective criterion of lay-off, the compensating offerings and the alternatives. The downsizing motivation is analysed according to the Institutional Theory of Downsizing of McKinley *et al*. (2000). Triangulation is used to explore the motivation, downsizing modes, and the social cognition process of the top managers, HR managers and department managers.

Meanwhile, we also compare the Taiwanese subsidiaries of MNC with the local enterprises in order to explain the Institutional Theory of Downsizing in the cross-cultural contingency.

Analysis and Discussion

Downsizing motivation. According to the survey results, most of the companies have perceived the problem of redundancy, as seen in Table 2. After further investigation, we also found that almost all the cases under study have recognized that the redundancy rate in

Table 2. The perceived level of redundancy

	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan and foreign country)						Local-private							State-owned	
Redundancy situation	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
1. % of redundancy	4 ~ 15	8	>15	>15	>15	4 ~ 15	>15	>15	4 ~ 15	>15	>15	>15	4 ~ 15	>15	>95	>15	>15	>15
2. Duration of redundancy happen recently		V	V							V			V	V	V			
more than 3 years				V	V	V		V	V		V					V	V	
ongoing	V						V					V						V
3. Predicted outcomes in the future getting worse if it is not being taken care of			V	V	V	V	V	V	V	V	V	V		V			V	V
it will be resolved naturally	V																	
cannot tell		V											V		V			

each company is more than 15%. Maybe this is the reason why the scale of downsizing in these companies is higher than 15%. Many companies have considered redundancy as an ongoing phenomenon. This finding shows that redundancy has become an obstacle hindering the growth of the companies.

The analysis and discussion of the survey results are made in the light of the three main categories of downsizing motivation according to the Institutional Theory of Downsizing proposed by McKinley *et al*. (2000).

Economic factors. Many literature reviews have pointed out that companies downsize due to the eagerness to improve the financial performance, such as management effectiveness, profitability, and productivity. Table 3 summarizes the economic factors influencing downsizing decisions, including stagnant or declining profitability, new managerial models, unspecific core competency, employees without competitive advantages and long-term stagnation. Among these, stagnant and declining profitability is mentioned in all 18 cases. Even some state-owned enterprises have recognized the problem of stagnant and declining profitability and wanted to implement downsizing. Those companies that depend heavily on profitability to survive, view economic factors as the critical motivation for downsizing. For local companies and joint-ventured companies, they downsize for two reasons: employees without competitive advantages and new business models. These two reasons also correlate closely with economic performance.

Institutional factors. From the viewpoint of institutional theory, downsizing is adopted because the enterprises follow the social convention: isomorphic actions have their legitimacy. McKinley *et al*. (1995) proposed that there are three institutional factors affecting the execution of downsizing. They are constraining, imitation and learning. Many companies indicated that the factors of institutional theory are the main motivation behind downsizing actions. According to the respondents, the factors of institutional theory are: the command from higher hierarchy, downsizing as a publicly accepted paradigm, learning from the bench-marked companies. See the downsizing motivation – the consideration of institutional factors in Table 4. Among them, the command from higher hierarchy is the major influencing factor. The decisions of downsizing are possibly influenced by the factors of institutional theory, but are not necessarily carefully evaluated. The findings also reveal that many enterprises downsize to cope with the whole organizational change and to implement business process re-engineering. Currently, business process reengineering (BPR)[5] is recognized as a fad and many managers recognized the concepts of BPR as downsizing.

Social cognition. The consideration of social cognition means that managers recognize downsizing via mutual interactive mental modes and institutional process. On the other hand, after job re-design, the percentage of redundancy is figured out and the downsizing decision is made by top management. Downsizing motivation is the obvious evidence of the social cognition processes of mangers. Collectively, these top managers instil the concepts of employee self-reliance and de-bureaucratization and, furthermore, put the concepts into action. Simultaneously, people generally accept that organizations must re-organize in the dynamic environment, and therefore that downsizing is inevitable. Apart from that, downsizing also relates to external social interaction. From the interviews, we find out that the managers in Taiwan usually have many opportunities to get access to up-to-date management knowledge, such as managerial journals, further education, practical and academic seminars or similar social functions. And these social learning processes include regional, national and international meetings. Part of the downsizing

Table 3. The downsizing motivation the -consideration of economic factors

	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan & foreign country)						Local-private							State-owned	
Downsizing motivation	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
Stagnant profitability or decline	V				V	V		V	V	V	V	V	V	V			V	V
New business model					V	V	V	V	V		V		V				V	
Unclear core competency employees without competitive advantages				V	V	V	V	V	V		V		V	V			V	V
Depression without recovery														V				

Table 4. The downsizing motivation -the consideration of institutional factors

	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan & foreign country)						Local-private						State-owned		
Downsizing motivation	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
Instruction from superior organization	V	V	V	V	V		V	V	V	V	V			V	V	V	V	V
Downsizing is a commonly recognized strategy					V		V	V	V		V					V	V	V
Learn from benchmarked companies					V		V	V			V	V						V

motivation is from the interaction with managers from different fields, academic scholars and business consultants. After the social interaction, managers learn that downsizing is an effective strategy to reorganize the companies. In addition, Table 5 shows that many companies downsize because other bench-marked companies also do the same. The management patterns of the benchmarked companies have leading effects.

Ethical acceptability. Lastly, the ethical acceptability is discussed. From Table 6, we find that all the companies that downsize comply with the requirements of local laws and regulations, but are inconsistent in respecting employees' basic human rights. In fact, companies downsize mainly for profitability. But considering the corporate images and the downsizing effectiveness, they also have to obey the rules. Respect of employees' human rights and the principles of justices are different in different cultural contexts and the level of social institutionalization. For example, foreign direct invested (FDI) companies are consistent in ethical principles because they are strongly influenced by home countries.

Summary

Compound motivation

The downsizing motivation of our case companies are summarized as follows. Three factors coexisted: B, SJ, C, Y, F1, M, H2, L, H1, P, NY, CT, CB; two factors coexisted (economic and institutional): T1; (Economic and social cognition): S; (Institutional and social cognition): TL, A, PH. We therefore conclude that the motivation influencing downsizing is not uniform, but rather various and complicated. Apart from the economic factor, it is also influenced by institutional and social cognition factors. Previously, companies downsized solely due to stagnant or declining profitability. However, more companies have decided to downsize for various other reasons. These companies also revealed that downsizing would not necessarily improve the performance. Currently, companies can easily access information from other companies. They tend to learn from each other, which also represents the viewpoint of institutionalization. The finding from the research also reflects the concepts. Apart from economic and institutional factors, the managers' social cognition will also make companies treat downsizing as a necessary reorganization tactic.

The Comparisons of Downsizing Motivation between the Subsidiaries of MNCs and the Local Private Enterprises

Except for Company Y, the downsizing motivation of all the subsidiaries of MNC is influenced by the wishes of parent companies or the regional HQ. Compared with the purely foreign-invested companies, joint-ventured and local privately-owned companies tend to be influenced by economic factors. More subsidiaries of MNCs execute business process re-engineering than the local privately-owned companies. Therefore, the downsizing motivation is formed through the process of social cognition. During the process of social cognition, the ethical principles from purely foreign-invested enterprises are more definite and consistent.

The following three interviews (local private, joint ventured and purely foreign-invested companies) illustrate the compound reasons and differences in downsizing motivations.

Table 5. The downsizing motivation -the consideration of social recognition

	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan & foreign country)						Local-private							State-owned	
Downsizing motivation	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
Overall system changes	V	V	V	V		V	V	V	V			V	V				V	V
Business process reengineering	V	V			V	V	V	V	V		V						V	
Actualization of management knowledge							V					V						
Comparison with the benchmarked enterprise			V		V		V				V	V	V			V	V	V

Table 6. Enterprise's ethic principles and the social responsibility perception

	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan & foreign country)						Local-private							State-owned	
Ethical principles	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
Respect to the basic human rights	H	H	H	L	H	H	M	L	H	M	M	H	H	M	L	M	H	M
Downsizing comply with requirements of laws	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Majority as the priority	H	H	H	L	H	M	M	H	H	M	H	H	H	M	L	M	H	M
Consideration on the effects and costs of downsizing	H	H	H	H	H	H	H	H	H	M	H	H	H	H	H	H	H	M
Fairness in procedures	H	H	H	L	H	H	H	L	M	L	H	H	H	M	L	M	H	M
Corporate image	H	H	H	H	H	H	M	M	H	M	H	H	H	H	H	H	H	M
Social responsibility	H	H	H	L	H	M	M	L	H	M	H	H	H	M	L	M	H	M

Note: H: high; M: moderate; L: low

The downsizing decision is reached by the President, VP, General Manager, VP of Business Unit, and HR Heads. The downsizing decision is made according to profits and costs. Inefficiency of the organization and too many redundant employees are also the reasons. Even though employees are capable, if the firm's overall performance is not good, companies still have to take downsizing actions in order to survive [economic factors] ... Since downsizing is considered as the last resort in most of the countries ... When downsizing, companies still have to take the way of competitors' doing and the opinions of, customers and the society into account (institutional consideration). Otherwise, employees will regard the company as a cruel organization. Firms also have to consider interpersonal relationships, too. For example, they do not lay off married couples who work at the same firm, but offer preferential compensation package. Downsizing targets are selected according to their performance. Even top managers and union leaders may become targets. At the first stage of downsizing, employees will be notified in advance. The laid-off compensation will be paid instead in order to avoid unfairness. In the subsequent stage, employees will be informed about the problems and difficulties faced by the firms and are convinced that firms are compelled to take the action [the consideration of business ethics and morality] ... During recession, downsizing is inevitable. In order to survive, firms will downsize and the downsizing action will comply with the social compliance [institutional consideration]. (VP of Business Unit at a local high technology firm)

After the expiration of patents, competitors appear rapidly. The market competition is tense and the competitors produce better products with the latest and better technology. Comparatively, our production costs are higher than theirs [economic motivation] ... Our firm has executed BPR for two years which makes the problem of redundancy more serious and obvious. Therefore, it is obvious that some business units have to be merged or downsized. Downsizing has been regarded as a necessary action for firms in order to be more competitive. It is widely accepted and discussed in business conferences or in academic field. If the firms do not downsize when the overall performance is still good, they will be perceived as incapable organizations [institutional consideration]. We have discussed many times at the executive meetings and reached a conclusion: downsizing is the necessary strategy [the process of social cognition] ... In order to maintain the corporate image and the relationship with the employees, we have to take economic benefits and business ethics into account ... and at the same time, preferential separation package will be provided to persuade the employees who can't meet the standard performance to leave. Although it is hard for both our firm and employees, it is vital to stay competitive. (Senior VP of a joint ventured firm)

Originally we did not see the problem of redundancy at our firm, but the parent company in the US based on the high efficiency [economic factors] has asked us to reorganize the subsidiaries in Taiwan [institutional factors] ... Since downsizing is inevitable, the CEO gathers all department heads to re-design the organization with the guidelines provided by the parent company [social cognition]. After interviews and selections, new working teams are formed. The ones who are not selected will be arranged for other jobs at other subsidiaries. Both firm and the employees benefit from the arrangements. Some employees receive the laid-off compensation and later find a better job. Even for those who cannot be allocated anywhere are still offered a preferential laid-off package ... We downsize the employees in batches to decrease the impact on employees [the consideration of business ethics]. Totally we have downsized 8% of the workforce, but it is still

too early to assess the impact on the overall business performance [economic factors]. (HR director of 100% FDI)

We proposed the following propositions according to the above discussions.

Proposition 1. The downsizing motivation is mixed with economic factors, institutional factors and social cognition.

Propositions 2. Managers who have gone through the process of BPR or the whole system change have stronger social cognition.

Propositions 3. Compared with the 100% FDI, the downsizing motivation of joint ventures tends to be more influenced by the institutional factors. The motivation is similar to the local firms.

Institutionalization, Downsizing Strategies and Practice

From the interviews, we also found that institutional factors will influence not only the downsizing motivation, but also the downsizing strategies. From Table 7, we found that most firms take a gradual downsizing strategy. Furthermore, as seen in Table 8, apart from M, S and NY, most of the firms have provided lay-off packages. Except for M, SJ, TL, all firms have provided consultation or job-seeking services that are also influenced by social institutionalization. In Chinese society, influenced by Confucianism, firms have to follow the specific social norms, people have to be generous and kind to each other, and then the whole society can be prosperous and stable (Graham & Lam, 2003). The interviews also revealed that many employees commented that the downsizing action was 'not fully satisfactory but acceptable'. It is closely related to firms' downsizing strategies and the lay-off packages, and also means that institutionalization will affect the results of downsizing.

Summarizing the above analyses, we propose a proposition about downsizing strategies and relevant practices.

Proposition 4. Institutional factor and social cognition both influence downsizing strategies and related practices.

Conclusions and Suggestions

Our empirical research supported the Institutional Theory of Downsizing proposed by McKinley *et al*. That is, the motivation of downsizing is mixed with economic factors, institutional factors and social cognition. Moreover, this mixed motivation has also occurred in Taiwan, which is a newly developed country but not a post-industrial country; which contrasts the proposition of McKinley *et al*. We have explained the Institutional Theory of Downsizing and the relevant practices in downsizing strategies and execution. It is obvious that the Institutional Theory of Downsizing not only affects the motivation but also affects the relevant downsizing practices. Most of the enterprises downsize for a profitable purpose, but to maintain a fair corporate image, the practices should comply with the social norms. The respect of employees' human rights and principles of justice could be different due to various cultural backgrounds and social systems. For example, the ethical principles in foreign-owned enterprises are clear and consistent; however, joint venture subsidiaries or local enterprises tend to be influenced by local culture and social systems. Oliver (1990) has proposed similarly that foreign-sponsored

Table 7. Downsizing strategies

Downsizing strategy	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan & foreign country)						Local-private							State-owned	
	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
1. Intensity																		
Moderate	V		V		V	V	V	V	V	V	V	V	V	V	V		V	
Acute		V	V	V			V	V				V		V	V	V		V
2. Downsizing process																		
Directly										V			V	V		V		
Downsize after BPR		V	V	V	V			V			V							
Downsize after re-organization	V					V	V		V			V			V		V	V
3. Criteria for downsizing																		
Performance	V		V	V	V	V	V	V	V		V	V	V	V				V
Value to the company	V	V	V	V					V				V		V	V		V
Volunteer										V							V	VV
Job statue		V																
Age (seniority)									V		V	V	V	V				V
Others									V	V	V	V	V					V
4. Alternatives																		
Transfer to other subsidiaries		V		V			V		V	V	V			V				
Job enlargement/ Curtailed working hours			V		V	V					V	V	V	V			V	V

Table 8. The severance terms

	Capital form /company code																	
	100% foreign investment			Joint venture (Taiwan & foreign country)						Local-private							State-owned	
Severance terms	B	A	PH	SJ	C	Y	F1	M	H2	T1	L	H1	S	P	NY	TL	CT	CB
Be notified in advance	V	V		V	V	V	V		V	V	V		V	V	V		V	V
Superior package to legal requirement	V	V	V	V	V	V	V		V	V	V	V		V		V	V	V
Outplacement services:																		
Consultation service	V	V	V		V	V	V		V	V	V	V	V	V			V	V
Transfer/job-seeking/ establish their own business		V	V			V	V			V		V	V	V	V			V

subsidiaries tended to value the local social systems. We also realize that institutionalization and social cognition processes will produce a balancing power in the downsizing practices. It allows enterprises access to the legitimacy in the system and to perform downsizing smoothly. Employees have better opportunity to negotiate and get favourable compensation when leaving. The balancing power is especially important for the management of MNCs in foreign countries.

Research Implications

The evidence for this research comes from Taiwan, but it is worthwhile choosing more sample cases from other cultural backgrounds in order to discuss further the influences of institutional theory of downsizing in cross-cultural contingency. For example, choosing other developing countries, such as China, Malaysia, Thailand as research targets, the generalization of the institutional theory of downsizing will be more concrete. At the same time, it is also interesting to find out if the strategies and actions taken by the downsized employees and the other stakeholders will be also influenced by institutional factors. It is also worthwhile investigating the influences of the institutional motivation and the related strategies on the performance after downsizing (such as the firm performance and the acceptability of the employees). In addition to downsizing, will other prevailing management practices such as BPR, 6σ, knowledge management be influenced by institutional factors or the process of social cognition? It will be worthwhile researching this.

Managerial implications. The research has proved that MNCs emphasize global integration. They also focus on local responsiveness when formulating HR managerial practices. For example, the interviewed firms in this research revealed that they downsized because the parent companies asked them to do so. Meanwhile, they still obeyed the local norms and legal requirements. Through the socialization process of the managerial teams, firms can understand the motivation for downsizing and take advantageous strategies and actions. Then, the downsizing action will be effective and comply with the business ethics and further meet the expected goals. Institutionalization can reduce the uncertainty and ensure downsizing can proceed smoothly. Sometimes, firms overemphasize the importance of institutionalization and neglect individual conditions. Therefore, when downsizing, firms have to evaluate carefully both external and internal conditions.

Notes

1. They are the principle of utility, principle of rights and principle of justice. It means that fairness and equality are used to explore ethic behaviours and performance. The three principles are from the normative model of ethical analysis developed by Cavanagh *et al*. (1981).
2. Yeh (2000) cited from Meyer & Rowan (1997): enterprises have more legitimacy if their behaviours comply with the environmental institution.
3. According to the definition by Bartlett *et al*. (2003): MNCs are the companies which directly invest in foreign countries and manage the subsidiaries aggressively.
4. According to the definition by Tomasko (1990), mass-scaled downsizing means to downsize 5% to 15%.
5. Champy (1995): he and Hammer published *Reengineering the Corporation* in 1993. The book intrigued the popularity of business process re-engineering (BPR) and also the trend of downsizing.

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